

Grab: The Uber of Southeast Asia



Investment Thesis:

Grab trades at 8-9x normalized 2029 EBITDA, a significant discount to EM platform peers like Meituan and SEA Limited. We believe the market is underestimating two things. First, the durability of Grab's dominance in Southeast Asia. Once a user is on the platform for rides or food delivery, the switching costs are higher than the market appreciates because Grab's superapp model creates a compounding flywheel where each additional service deepens engagement and raises retention across the whole ecosystem. Second, the market is treating Financial Services as worthless optionality despite a loan book growing 56% YoY with NPLs below 2%, effectively giving investors a free call option on what could be the region's most data-advantaged digital lender. The core business alone justifies a significantly higher multiple. The fintech business is not in the price.

Background:

Grab was founded by Anthony Tan and Tan Hooi Ling at Harvard Business School on a mission to make taxi rides safer. In 2011, the duo sketched out a “ride-hailing meets safety” concept in an entrepreneurship course, winning a \$25,000 grant as a runner up - in the HBS New Venture Competition. Using that prize money and personal funds, they launched MyTeksi in Malaysia in June 2012 – a mobile app aimed at improving taxi safety and reliability. Anthony Tan, scion of the Tan Chong auto-distribution family, famously left a cushy family-business future to start Grab, driven by social impact rather than money. Over time GrabTaxi rebranded to Grab and

expanded rapidly across Southeast Asia, ultimately outpacing rivals and transforming from a simple taxi-app into the region's first "super app" offering rides, delivery, and financial services.

Today, Grab operates in eight Southeast Asian countries, including Indonesia, Singapore, Malaysia, Thailand, Vietnam, Philippines, Myanmar, and Cambodia. It serves millions of users each month through a large network of drivers, merchants, and partners. In 2024, the company generated approximately \$2.7 billion in revenue, growing about 15 percent year over year, and achieved positive Adjusted EBITDA for the first time. This marked an important step toward sustainable profitability. Grab's operations span three main areas: Mobility, Deliveries, and Financial Services. Together, these segments allow Grab to capture multiple parts of everyday consumer spending while using shared data, payments infrastructure, and platform incentives to improve user retention and margins.

Business Segments

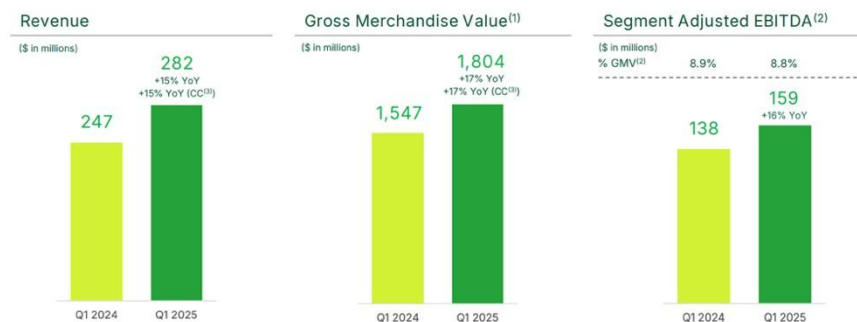
Mobility (Ride-Hailing & Transit)

Grab's core mobility business includes ride-hailing, airport transfers, and buses, all of which operate on an asset-light model with independent drivers. The company has also expanded into electric vehicles; for instance, GrabCab in Singapore is gradually converting to a fully electric fleet.

Grab's mobility operations demonstrate the strength of platform economics. Because it does not own vehicles or employ drivers directly, each additional ride increases volume without meaningfully raising fixed costs. As more drivers join the platform, wait times fall, reliability improves, and more users are drawn in—creating a self-reinforcing network effect that boosts utilization and profitability. Active driver supply has risen alongside higher average driver earnings and lower surge pricing, reflecting more balanced market conditions and improved unit economics.

Grab holds a dominant position in mobility across Southeast Asia, particularly in Singapore and Malaysia where it commands a clear lead, and it maintains strong market share in Thailand, Vietnam, and the Philippines. Indonesia remains the most competitive market, where Grab and Gojek share roughly equal market presence. Even so, Grab's broader regional scale, technological capabilities, and deep local partnerships have helped it sustain high retention and efficiency across its core mobility business.

Q1 2025 Unaudited Results Mobility



Note 1: For the definition of Gross Merchandise Value (GMV), see the section titled "Definitions of Operating Metrics" in the Appendix on Page 25. 2: Segment Adjusted EBITDA is a non-FRS measure. For the definition of Adjusted EBITDA, see the section titled "Definitions of Non-FRS Measures" in the Appendix on Page 25. 3: CC stands for Constant Currency. We calculate constant currency by translating our current period financial results using the corresponding prior period's monthly exchange rates for our transacted currencies other than the U.S. dollar.

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These figures reflect Grab's operating leverage: even as it increased incentives, mobility EBITDA margins have held near 9 percent. Grab has also introduced "Saver" rides, a lower-cost option where passengers accept slightly longer wait times in exchange for cheaper fares. This strategy expands the market to more price-sensitive users, increases overall ride volume, and helps keep drivers consistently utilized. **Saver rides now account for over 25 percent** of all mobility transactions, highlighting Grab's ability to grow demand while maintaining efficiency.

Deliveries (Food, Groceries, Parcels)

Grab's delivery segment spans food delivery, grocery (GrabMart), and parcel services. Across Southeast Asia, Grab is widely recognized as one of the leading food-delivery platforms, with an estimated 50-50% share of food delivery GMV in the region.

In specific countries, the picture is more nuanced. In Vietnam, Grab holds 48% vs ShopeeFood 47% of the food delivery market. In Indonesia, while Grab is a major player in the food delivery space, it competes closely with GoFood and ShopeeFood, and claims strong merchant penetration despite varying GMV rankings.

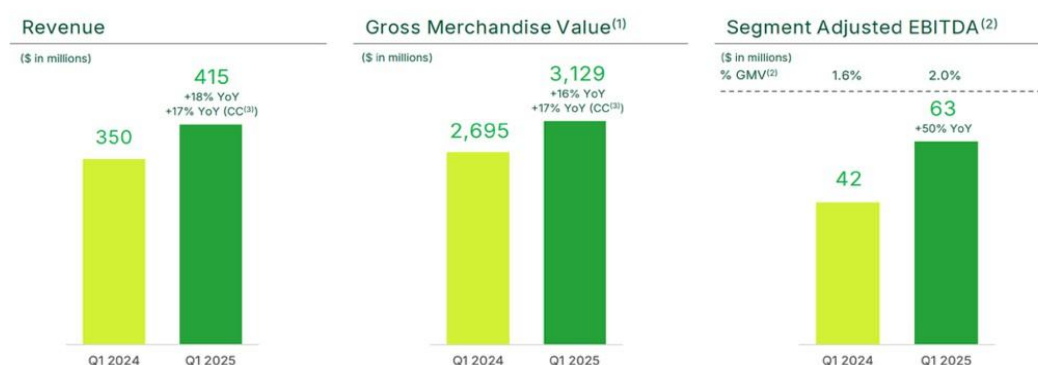
The acquisition of Malaysia's Jaya Grocer in 2022 accelerated Grab's entry into grocery logistics. Groceries have become one of the faster-growing part of the Deliveries GMV base. Advertising and merchant services have also been scaling faster: in Q4 2024, advertising revenue accounted for 1.7% of Deliveries GMV (up from 1.4% the prior year) and helped boost profitability.

Delivery Sub-Segment	Relative Share / Growth Trend	Margin / Profitability Signal
Food Delivery	50-55% of regional delivery GMV	Low margins but improving

Grocery (GrabMart)	Fastest growth among subsegments	Higher margins due to direct retail margins plus delivery
Advertising & Merchant Services	1.7% of GMV (Q4 FY24)	High margins adding straight to the bottom line

The chart below shows Grab's deliveries segment's standalone performance, showing trends in its total revenue, GMV, and segment-adjusted EBITDA. It highlights how the business has scaled while steadily improving profitability and efficiency.

Q1 2025 Unaudited Results Deliveries



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Delivery growth has been fueled by features like GrabMart (grocery), Group Orders and Dine-Out. By year-end 2024 "Saver" and "Priority" delivery options accounted for 33% and 9% of total orders. In Q1 2025, Grab recorded its highest-ever monthly active users in Deliveries, supported by seasonality and strong grocery demand, pushing segment revenue up 18% YoY.

Margins remain low but are steadily improving. For the full-year 2024, Deliveries EBITDA turned positive at \$196 million as overhead costs stayed flat and advertising income increased. With millions of active merchants and riders on its platform, Grab continues to expand ancillary revenue streams such as commissions and ads, steadily lifting take rates and paving the way for durable margin expansion in Deliveries.

Financial Services

Grab Financial includes GrabPay, a growing lending business, and digital banks in Singapore and Malaysia. As of FY24, they've built a deposit base of around \$1 to \$1.4 billion and have \$566 million in outstanding loans. In Q1 2025 alone, they disbursed \$630 million in new loans.

Q1 2025 Unaudited Results Financial Services



Note: 1. For the definition of Loan Portfolio, see the section titled "Definitions of Operating Metrics" in the Appendix on Page 25.3. Segment Adjusted EBITDA is a non-IFRS measure. For the definition of Segment Adjusted EBITDA, see the section titled "Definitions of Non-IFRS Measures" in the Appendix on Page 28.3. CC stands for Constant Currency. We calculate constant currency by translating our current period financial results using the corresponding prior period's monthly exchange rates for our transacted currencies other than the U.S. dollar.

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Although still unprofitable, Grab's financial arm has been expanding steadily, supported by prudent credit controls. The company applies a closed-loop credit policy, where most borrowers are existing users within the Grab ecosystem. This allows Grab to assess income stability, transaction volume, and repayment history directly from platform data; loan repayment is often automated through deductions from driver or merchant earnings, which reduces delinquency risk and improves collections efficiency.

As of late 2024, non-performing loans remained below 2%, well within regional peers, reflecting disciplined underwriting. Average loan tenors are short (3-6 months), and the portfolio is diversified across working capital loans, consumer financing, and pay-later products. The focus remains on small-ticket, high-frequency lending, which generates recurring data feedback and limits exposure to large single borrowers.

Credit risk is closely monitored, but performance so far indicates that Grab's data-driven approach gives it a competitive edge in managing losses. While profitability will take time, operating leverage and higher take rates from payments and lending services are expected to drive a path toward break-even by 2026.

Strategic Edge & Competition

Grab's strategic edge lies in its network effects and scale advantages, not just its capital base. As a platform business, Grab benefits from a self-reinforcing cycle: drivers and merchants join because it has the largest base of users, and users come because it has the widest supply network.

This creates a two-sided flywheel that strengthens with every incremental transaction. Once established, these network effects become difficult for new entrants to replicate, as both sides of the marketplace are deeply integrated into Grab's ecosystem.

Its ability to raise large amounts of capital is a consequence of that strategic position, not the cause of it. Investors such as SoftBank backed Grab because its platform economics and local partnerships made it the clear leader in SEA's on-demand economy. The financial backing then amplified its advantage by allowing Grab to scale faster than competitors.



In 2018, Uber exited Southeast Asia and sold its operations to Grab, recognizing the strength of Grab's local execution and network density. Since then, Grab's dominance has increased. It leads in ride-hailing and food delivery across most of its markets, including Singapore, Malaysia, Thailand, Vietnam, and the Philippines, while competing closely with Gojek in Indonesia.

Grab's broader advantage today comes from its superapp model and strong local partnerships, which connect mobility, deliveries and financial services into one ecosystem. These integrations increase user retention and reduce customer acquisition costs across verticals, reinforcing its leadership in a region where scale determines survival.

Capital Allocation & Governance

Grab has shown a consistent and disciplined approach to managing capital. The company went public on the NASDAQ in December 2021 via SPAC raising over \$4.5 billion to strengthen its balance sheet and fund regional expansion. Since then Grab has balanced growth investment with measured shareholder returns.

In June 2025, Grab issued a \$1.5 billion convertible note, an increase from its initial target size following a strong investor demand. The proceeds were earmarked for general corporate purposes, which typically include strengthening liquidity, funding ongoing operations, supporting new product initiatives, and maintaining flexibility for future investment or

acquisitions. Earlier, in February 2024, the company announced a \$500 million share buyback program, repurchasing about \$273 million worth of stock at an average price of \$4.68 per share. Management noted that part of the convertible proceeds would fund the remainder of the buyback, effectively returning capital to shareholders while maintaining a strong cash position.

Grab's approach to growth has evolved toward greater financial sustainability. Rather than cutting incentives purely to boost near-term margins, the company has optimized them to maintain user and driver engagement while gradually expanding profitability. CFO Peter Oey highlighted that Q1 FY25 marked Grab's 13th consecutive quarter of improving adj. EBITDA, showing that profitability and reinvestment can coexist under a disciplined capital framework.



On governance, co-founder and CEO Anthony Tan retains majority control through a dual-class share structure. Each Class B share carries 45 votes compared with one vote for Class A shares, giving Tan effective control over corporate decisions. This structure also meets local ownership requirements linked to Grab's digital banking licenses in Singapore and Malaysia. Despite the concentration of control, shareholders have shown little opposition given the company's improving performance and execution consistency.

Grab's board includes experienced operators such as Dara Khosrowshahi, CEO of Uber, whose insight into platform scaling and capital discipline adds practical oversight. Overall, Grab's capital philosophy combines long-term investment planning with tactical execution, such as buybacks when valuations are attractive.

CEO Anthony Tan – Mission, Control, and Long-Term Focus

Anthony Tan has led Grab since founding it in 2012, steering it from a single-city ride-hailing app to Southeast Asia's leading super app. His decision to leave a corporate path, despite being heir to the Tan Chong automotive empire, was rooted in a simple insight: technology could improve the lives of drivers and riders across a fragmented, underserved region. Tan's great-

grandfather was a taxi driver; his father ran one of Southeast Asia's largest vehicle distribution firms. That background gave him an edge in understanding both the grassroots and institutional layers of the transport business.

Today, Grab operates across eight countries, serves millions of users monthly, and has turned a corner financially. The company posted its first full-year positive EBITDA in 2024 and expects further margin expansion ahead. Tan has overseen the integration of major acquisitions — including Uber's Southeast Asia business in 2018 and Jaya Grocer in 2022 — and launched high-retention fintech offerings like lending and digital wallets. These moves reinforce Grab's ecosystem strategy: bundling transport, deliveries, and finance to lower customer acquisition costs and increase lifetime value.

Tan holds a small equity stake, but controls the company through Class B shares, giving him roughly 60% of voting power. That ensures strategic continuity. He also keeps a low public profile, rarely granting interviews, a trait often found in operators focused on execution. Grab's share buybacks in 2024–25 signal discipline and alignment with shareholder returns, even as the company continues investing in long-term opportunities.

For long-horizon investors, Tan's leadership stands out. He has consistently built with a mission-first mindset while navigating complex regional dynamics and public market scrutiny.

Valuation Framework – Focusing on Core GMV and EBITDA

As of mid-2025, Grab's market cap stands at approximately \$21 billion, with an EV of about \$15.5 billion after adjusting for roughly \$5.5 billion in net cash. The company remains debt-light, reflecting strong liquidity and balance-sheet flexibility. At this valuation, investors are primarily buying the core business: Mobility and Deliveries, which generated \$18.4 billion in GMV and \$765 million in Adj. EBITDA in 2024.

Management guides for long-term EBITDA margins of ~10% in Mobility and improving profitability in Deliveries. Assuming:

- Mobility GMV grows at 10% CAGR with 10% margins
- Deliveries GMV grows 8–10% CAGR with 5–6% margins

Grab could generate ~\$2 B in core EBITDA by 2029 based on those assumptions.

At today's enterprise value, this equates to roughly an 8-9x multiple on 2029 steady-state EBITDA. For context, comparable regional and global platform peers such as Meituan, SEA Limited, and Uber trade between 14x and 25x forward EBITDA. Against that benchmark, Grab's implied multiple appears conservative relative to its scale, balance sheet strength, and path to sustained profitability.

Upside Optionality – Financial Services

Financial Services is still early-stage but scaling fast:

- Loan book up 56% YoY (2025), 13% average yield
- Expected 25% EBITDA margin by 2029
- Potential 2029 EBITDA: ~\$78 M

Fiscal year	2024A	2025A	2026P	2027P	2028P	2029P
Fiscal year end date	12/31/24	12/31/25	12/31/26	12/31/27	12/31/28	12/31/29
Loan Portfolio	363	566	849	1,231	1,723	2,413
Growth YoY (%)	86%	56%	50%	45%	40%	40%
Average Interest Yield		13%	13%	13%	13%	13%
Loan Revenue	55	75	110	160	224	314
EBITDA Margin	34%	-9%	0%	10%	20%	25%
Loan EBITDA	(28)	(30)	0	16	45	78
Exit Multiple Range			10x	15x	20x	
Implied Exit Value			784	1,176	1,568	

Using a 10–20× multiple, this adds \$0.8–1.6 B in optional value—not priced in. Grab's fintech arm benefits from ecosystem synergies and low CAC.

Comparable regional peers trade in a similar range. SEA Limited and Meituan, both large multi-vertical platforms, trade between 14x and 20x forward EBITDA. On that basis, Grab's current multiple of 22x on trailing EBITDA or 8-9x on normalized forward EBITDA appears reasonable given its improving profitability and strong regional position.

Market Disconnect and Rerating Potential

The market currently values Grab at roughly 20x FY24 Adj, EBITDA, reflecting early-stage profitability and cautious sentiment around the company's ability to sustain margins. However, these near-term multiple captures a business still in transition, where incentives and reinvestment continue to weigh on reported earnings.

A more useful perspective is to assess Grab on a steady-state EBITDA basis, once margins normalize and growth stabilizes. On projected 2029 core EBITDA of around \$2 billion, Grab's current enterprise value implies just 8-9x steady state EBITDA.

If Grab continues to deliver consistent EBITDA growth, positive free cash flow, and improving margins across Mobility and Deliveries, its valuation multiple could gradually converge toward this peer range. Applying a 15-20x multiple to steady-state EBITDA implies an equity value of 38-48 billion, versus today's market capitalization of roughly \$21 billion.

Key Risks:

The primary risks to this thesis are threefold. First, Grab is effectively operating as a lender despite having no traditional underwriting experience. Its closed-loop credit model and platform data give

it an informational edge, but this has never been stress-tested through a real credit cycle. A deterioration in loan quality would not only hurt Financial Services directly but would also undermine confidence in the broader ecosystem thesis. Second, margin compression remains a risk as competition in food delivery and mobility persists, particularly in Indonesia where Gojek remains a formidable rival and incentive spending could re-accelerate. Third, Grab operates across eight countries each with its own regulatory environment, and any adverse policy change around digital banking licenses, data privacy, or ride-hailing in a key market like Indonesia or Singapore could meaningfully impair the business. We believe these risks are manageable given Grab's balance sheet strength and track record of navigating regional complexity, but they are real and worth monitoring closely

Disclaimer: This is not investment advice. The views expressed are my own and for informational purposes only.